EXOS AEROSPACE — STARFIGHTERS SPACE (FJET) FUNDING STRUCTURE OPTIONS

INTERNAL — FOR JON QUINN / COUNSEL REVIEW ONLY | October 6, 2026

0. STARFIGHTERS SPACE (FJET) — CURRENT FACTS

All figures from primary sources (SEC EDGAR, MarketBeat). Unverified items flagged.

Exchange / Ticker: NYSE American: FJET (listed December 2025)

CEO: Tim Franta — salary raised to $350K/yr effective Sep 28, 2026 *[SEC 8-K Oct 2 2026]*

CFO: David Whitney — salary raised to $300K/yr effective Sep 28, 2026

Share price (10/6/26): $1.62–$1.63 | 52-wk range $1.57–$31.50 (–86% YTD) *[MarketBeat https://www.marketbeat.com/stocks/NYSEAMERICAN/FJET/chart]*

Market cap (10/6/26): ≈ $89.9M

Shares outstanding: ≈ 55M (current); 44.2M at March 31, 2026 *[Yahoo Finance https://finance.yahoo.com/quote/FJET/key-statistics]*

Float: 37.33M shares | Insiders 26.6% | Institutions 18.9%

Institutional holders: Citadel Advisors 5.43%; BlackRock 3.86% *[Investing.com https://www.investing.com/equities/starfighters-space]*

Last capital raise: $17.5M Reg D 506(b) private placement, May 27, 2026 — 5.22M shares @ $3.35; Cantor Fitzgerald agent *[SEC Form D Jun 4 2026 https://capedge.com/company/1947016/filings]*

H1 2026 net loss: $15.7M | operating cash burn $10.1M *[10-Q filed Aug 19 2026 https://www.sec.gov/Archives/edgar/data/1947016/000106299326004518/form10q.htm]*

Cash at Mar 31, 2026: $2.14M (cash + restricted) | Total assets $26.34M | Equity $22.43M *[10-Q filed May 20 2026 https://www.sec.gov/Archives/edgar/data/1947016/000106299326002803/form10q.htm]*

STARLAUNCH status: Wind tunnel testing complete Jan 2026 (Mach 0.85 / 1.3). Blackstar Orbital hypersonic partnership. *[SEC 8-K Jan 21 2026]*

Auditor: Changed to CBIZ CPAs P.C. effective July 22, 2026 *[SEC 8-K Jul 2026]*

■ FJET going-concern disclosures active. Material weakness remediation ongoing. High stock-based comp ($4.5M H1). Any deal must account for FJET's capital needs and NYSE American continued-listing requirements.

Existing Exos–Starfighters Relationship

- MOU under discussion (Task #1782 / 23 emails with Tim Franta, Sep 28 2026).
- Mutual NDA executed. AEDC Velocity Alliance RFWP roster submitted (Exos prime / FJET sub).

1. EXOS FUNDING CONTEXT — OCTOBER 6, 2026

A. Reg D Rule 504: Up to $25M staged ≈$10M/yr. No public solicitation. Counsel-confirmed structure. Rule 504 rolls 12-month cap: $10M total. Existing 504 sales + Capital Bridge consume some capacity — exact remaining headroom requires Counsel confirmation. See https://www.sec.gov/smallbusiness/exemptofferings/rule504

B. Japan Reg S: EAI units, offshore, separate from U.S. 504. K.K. wholly owned.

C. Ainigma RTO: Series A worklist PAUSED pending Ainigma resolution.

D. Scorpius commission-only (NEW 10/6): ROFR expired. 15% commission. D-7281978 SSLC agreement.

Aerospace
Systems & Technologies

Exos 409A valuation: $169.7M (March 31, 2026)

Series A target: $10M–$25M (D1–D4 locked Aug 13, 2026)

BLK3 first flight: Early 2027 (FAA-licensed March 2026)

■ **Before executing any RTO / reverse-merger structure: confirm with Counsel whether Ainigma term sheet contains exclusivity that would block Structures B. This is a go/no-go gate.**

2. STRUCTURE A — STRATEGIC EQUITY INVESTMENT BY FJET IN EXOS

■ **RULE 504 CAPACITY ISSUE: Rule 504 caps total raises at $10M per rolling 12 months (https://www.sec.gov/smallbusiness/exemptofferings/rule504). Existing 504 sales + Capital Bridge already consume some capacity. A $5–$10M FJET check could exhaust the remaining window. Two sub-options below — Counsel must confirm path before proceeding.**

FJET deploys capital into Exos at Exos's 409A valuation ($169.7M pre-money). No change in Exos control. Exemption path depends on remaining 504 capacity.

Sub-Option A1 — Size Within Remaining 504 Capacity

- Counsel confirms rolling balance available in 504 offering; FJET check sized to stay within that balance (likely well under $5M; TBD).
- Flows directly into existing 504 offering; no new exemption needed. Risk: may severely limit FJET check size.

Sub-Option A2 — Separate Rule 506(b) Offering for FJET (Preferred if Rule 152 analysis is favorable)

- FJET qualifies as accredited institutional investor under Rule 501(a). 506(b) has no $10M cap — accommodates $5M–$10M without consuming 504 window.
- Rule 152 integration analysis required: concurrent 504 + 506(b) may be integrated by SEC. See https://www.sec.gov/smallbusiness/exemptofferings/rule152 [COUNSEL TO CONFIRM]
- If approved: investment $5M–$10M; Exos post-money $175–$180M; FJET dilution ≈2.9%–5.6%; separate Form D filed for 506(b) tranche.
- FJET-side: no shareholder vote at this size (<20% of FJET outstanding); FJET board approval required.
- No Ainigma exclusivity conflict expected (pure equity, not RTO/merger).

TIMELINE: A1: 4–8 weeks if 504 capacity exists. A2: 6–10 weeks (add Rule 152 analysis). Confirm exemption path with Counsel BEFORE raising at Tim meeting.

3. STRUCTURE B — STOCK-FOR-STOCK MERGER (EXOS AS FJET SUBSIDIARY)

■ **AINIGMA CONFLICT CHECK REQUIRED. Confirm with Counsel before discussing with Tim.**

Exos merges into FJET (or FJET sub). Exos shareholders receive FJET stock. Exos acquires public-company access without a separate IPO.

- Exchange ratio illustrative: $169.7M Exos / $1.63 FJET = ≈1.89 FJET shares per Exos share
- Requires: S-4 registration, PCAOB-audited Exos financials, FJET shareholder vote (>20% NYSE Am. §712)
- FJET going-concern and sub-$2 stock are material risks to deal completion
- Timeline: 12–18 months minimum

RECOMMENDATION: Only viable if Ainigma RTO fails and FJET stabilizes above $2.00.

4. STRUCTURE C — JV / TEAMING + WARRANTS [RECOMMENDED IMMEDIATE TRACK]

Formalize the MOU into a binding teaming agreement: combined Mach 2+ (FJET) through 85 km (Exos BLK3) test ladder. Revenue share on jointly won contracts. Mutual warrants for long-term alignment.

- No direct cash investment at formation
- FJET receives Exos warrants (≈1–2% fully diluted at $169.7M exercise price)
- Targets: AEDC Velocity Alliance, AFRL hypersonic, DoD captive-carry, NASA on-ramp
- No Ainigma conflict. No FJET shareholder vote at warrant size <20%

TIMELINE: 30–60 days. EXECUTE IN PARALLEL WITH STRUCTURE A.

5. STRUCTURE D — LAUNCH-SERVICE PREPAYMENT + WARRANTS [SUPPLEMENTAL]

FJET makes a $2M–$5M launch-slot deposit against future BLK3 missions at published rates, paired with Exos warrants. Non-dilutive cash for Exos without equity issuance paperwork.

- Fastest path to non-dilutive cash if FJET has liquidity
- Counsel must confirm prepayment + warrant package structure under Howey test

TIMELINE: 2–4 weeks. Layer onto Structure C or A.

6. SUMMARY & RECOMMENDATION

- **Now:** Execute Structure C (JV/teaming) immediately — 30–60 day close
- **Gate:** Structure A (equity): Counsel must confirm 504 capacity + Rule 152 analysis BEFORE raising at Tim meeting. Once approved: 6–10 weeks to close.
- **If needed:** Add Structure D (prepayment) if FJET can't write equity check
- **12–18 mo:** Keep Structure B for after Ainigma resolves and FJET stabilizes

■ NOTHING in this document reviewed by Counsel. Do not share externally. Structure A requires Counsel sign-off on securities path before it is raised with FJET.

Aerospace
Systems & Technologies